

Banking Regulation & Policy Department.
Bangladesh Bank
Head Office
Dhaka.

BRPD Circular No.05

21 July, 2004 A.D.
Date:.....
6 Sraban, 1411 Bangla.

Chief Executive
All scheduled banks in Bangladesh

Dear Sirs,

Maintenance of CRR of banks.

Attention of all scheduled banks is drawn to the BRPD circular no-12 dated 6th September, 1998 and the BRPD circular no-12 dated 20th September, 1999 on the above subject.

02. At present the amount of CRR of the banks are determined on the basis of the average liability (excluding inter-bank liability) of all Thursdays of a month and banks are required to maintain CRR with Bangladesh Bank @ 4% of the average liability so determined every day for the subsequent month.

03. After a threadbare review of the matter it has been decided that henceforth banks are allowed to maintain CRR @ 4% daily on bi-weekly average basis subject to the condition that the amount of CRR so maintained should not be less than 3% in any day. All other procedures in regard to CRR will remain unchanged. This arrangement will come into force with effect from 1st August 2004.

Please acknowledge receipt.

Yours faithfully,
Sd/-
(Naba Gopal Banik)
General Manager
Phone: 7117825